SMID BREAKOUT SCANNER

SCAN (19:39 ET)

October 16, 2026 | 07:40 PM ET

3 setups identified | 1 A-Grade | 1 B-Grade | 1 C-Grade

Grade Summary

A - Breakout Setup (1)	B - Strong Setup (1)	C - Watch List (1)
VRNS	TALO	INDB

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
A	**VRNS**	**Varonis Systems,**	**Data Security / S**	**$48.72**	**+2.9%**	**$5.6B**	**111M**	**+3.2**	**76%**	**Breakout triggered by**
B	TALO	Talos Energy, In	Energy / Oil & Ga	$17.77	+4.7%	$3.0B	136M	+18.1	95%	Sector leadership (Ene
C	INDB	Independent Bank	Regional Bank	$79.88	+3.6%	$3.8B	47M	-7.7	91%	

Not financial advice. For informational purposes only. Do your own due diligence.

VRNS

Varonis Systems, Inc.

$48.72

+2.92%

RS vs SPY: +3.2%

A BREAKOUT

$5.6B Cap | 111M Float

Software - Infrastructure | Theme: Data Security / SaaS | 52W Hi: 76% | Base Tight: 2.11 | Vol: 22.6x | RS/SPY: +3.2% | Above 20MA: YES | EARNINGS IN 18D

SETUP METRICS

Price	**$48.72**
Day Change	**+2.92%**
Mkt Cap	**$5.60B**
Float	**111M sh**
RS vs SPY	**+3.2%**
52W Hi Prox	**76%**
Base Tight	**2.11**
Vol vs Avg	**22.6x**
RS Line Hi	**YES**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

Breakout triggered by extreme 22.6x volume surge into earnings in 18 days (Nov 3). Forward catalyst: Q3 print on Nov 3 where any ARR acceleration or guidance raise can propel stock toward 52W high at $63.80; enterprise security budgets remain resilient in macro uncertainty.

BUSINESS & POSITION

Varonis is a data security and analytics platform specializing in identifying and mitigating insider threats and ransomware exposure across unstructured data. The company has pivoted to SaaS delivery, driving higher recurring revenue quality and competitive separation from legacy point solutions.

FACTOR & THEME

Rides two secular waves: zero-trust architecture adoption (every enterprise breach accelerates budget allocation) and SaaS transition tailwinds. Cybersecurity remains counter-cyclical; mixed macro actually benefits data governance spend as regulatory scrutiny intensifies.

BREAKOUT SIGNAL

Close above $48.72 on volume >2260% of 20d avg (22.6x observed)

INSTITUTIONAL

Volume surge of 22.6x average is institutional in character-this is not retail froth. The magnitude suggests event-driven positioning ahead of the Nov 3 print or a leaked whisper number/guidance raise circulating among buyside desks. No insider buying in last 90 days is neutral for a SaaS name where equity comp dominates; institutional ownership data unavailable from feed (recommend cross-check 13F filings for large growth fund presence).

EARNINGS

EARNINGS IN 18D

EARNINGS CONTEXT

Next print Nov 3. Consensus estimates unavailable in feed. Historical beat pattern critical: if Varonis has serial beat history, the 22.6x volume pre-announcement is buyside front-running another upside surprise. Any ARR growth above 20% YoY or operating margin expansion would justify re-rating toward $60+.

KEY RISK

Thesis invalid on a close below $46.50 (approximate 20MA support), or if Nov 3 earnings show ARR deceleration or customer churn-signaling the SaaS transition is stalling. A guidance miss would trigger 15-20% downside given current positioning.

ANALYSIS

RS line new high + 22.6x institutional volume surge + earnings catalyst in 18 days = textbook setup. Disconfirming evidence: proximity to 52W high is only 76.4%, meaning stock still 23.6% below prior peak-this is NOT a fresh breakout into uncharted territory, but a recovery move. Base_tight at 2.11 is slightly wide. However, the volume signature and earnings timing override these concerns. In a mixed macro regime, conviction must be tempered-this is a trade, not a core hold. Conviction: Medium.

Signal: Close above $48.72 on volume >2260% of 20d avg (22.6x o

Vol vs Avg: 22.6x

VRNS - Technical Chart



TALO

Talos Energy, Inc.

$17.77

+4.65%

RS vs SPY: +18.1%

B STRONG SETUP

$3.0B Cap | 136M Float

Oil & Gas E&P | Theme: Energy / Oil & Gas | 52W Hi: 95% | Base Tight: 2.0 | Vol: 2.1x | RS/SPY: +18.1% | Above 20MA: YES | EARNINGS IN 18D

SETUP METRICS

Price	**$17.77**
Day Change	**+4.65%**
Mkt Cap	**$2.97B**
Float	**136M sh**
RS vs SPY	**+18.1%**
52W Hi Prox	**95%**
Base Tight	**2.0**
Vol vs Avg	**2.1x**
RS Line Hi	**no**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

Sector leadership (Energy +10.6% vs SPY this week) driving breakout near 52W high. Forward catalyst: Q3 earnings Nov 3 where any production beat or cost discipline can push stock through $18.73 resistance; WTI crude stabilization above $70 provides macro tailwind through year-end.

BUSINESS & POSITION

Talos is a Gulf of Mexico-focused independent E&P with low-cost offshore assets and recent expansion into carbon capture (CCS) infrastructure. The company benefits from short-cycle production and geographic concentration, allowing capital discipline and quick payback even in volatile commodity environments.

FACTOR & THEME

Direct play on energy sector leadership and potential crude supply tightness as geopolitical risk premiums persist. CCS optionality provides ESG narrative and potential non-commodity revenue streams, though still early-stage. Energy is the top-performing sector this week (+10.6% vs SPY), and Talos's +18.1% RS vs SPY confirms it's capturing the wave.

BREAKOUT SIGNAL

Close above $17.77 on volume >210% of 20d avg (2.1x observed)

INSTITUTIONAL

Volume at 2.1x is solid but not explosive-suggests steady rotation into energy rather than panic buying. No insider buying in last 90 days. Institutional ownership data not available from feed; recommend cross-check 13F for energy-specialist fund presence. The sector tailwind is doing the heavy lifting here rather than idiosyncratic positioning.

EARNINGS

EARNINGS IN 18D

EARNINGS CONTEXT

Next print Nov 3. Consensus estimates unavailable. Key metrics: production volumes vs guidance, realized pricing, and free cash flow generation. If Talos beats production guidance and reaffirms full-year targets, stock breaks through $18.73 (52W high). Any hedging losses or higher-than-expected OpEx would be bearish.

KEY RISK

Thesis invalid on a close below $16.80 (approximate 20MA), or if WTI crude breaks below $68 (erodes margin assumptions). Earnings miss on Nov 3 or production guidance cut would trigger 10-15% downside. Float of 136.4M is large-limits squeeze potential and requires sustained institutional buying to extend move.

ANALYSIS

Prox_52w at 94.9% and sector leadership (+10.6% vs SPY) are powerful, but RS line NOT at new high downgrades from A. Base_tight at 2.0 is textbook, and rs_vs_spy at +18.1 confirms strong relative strength. Disconfirming evidence: volume at 2.1x is modest for a true breakout; this feels like sector rotation rather than idiosyncratic alpha. Large float (136.4M) limits upside velocity. In a mixed macro regime with VIX elevated, energy can reverse quickly on headline risk. Sector +0.5 grade boost considered but RS line miss keeps this at B. Conviction: Medium.

Signal: Close above $17.77 on volume >210% of 20d avg (2.1x obs

Vol vs Avg: 2.1x

TALO - Technical Chart

